changes in it with which India started a wider process of the economic reforms.

INDUSTRIAL POLICY STATEMENT, 1969

This was basically a licencing policy which aimed at solving the shortcomings of the licencing policy started by the Industrial Policy of 1956. The experts and the industrialists (new comers) complained that the industrial licencing policy was serving just the opposite purpose for which it was mooted. Inspired by the socialistic ideals and nationalistic feelings the licencing policy had the following reasons:

(i) Exploitation of resources for the development of all

(ii) Priority of resource exploitation for the industries

(iii) Price-control of the goods produced by the licenced industries

(iv) Checking concentration of economic power

(v) Channelising investment into desired direction (according to planning process)

In practice, the licencing policy was not serving the above-given purpose properly. A powerful industrial house was always able to procure fresh licences at the cost of a new budding entrepreneur. The price regulation policy via licencing was aimed at helping the public by providing cheaper goods but it indirectly served the private licenced industries ultimately (as central subsidies were given to the private companies from where it was to benefit the poor in the form of cheaper goods). Similarly, the older and well-established industrial houses were capable of creating hurdles for the newer ones with the help of different kinds of trade practices forcing the latter to agree for sell-outs and takeovers. A number of committees were set up by the government to look into the matter and suggest remedies.[11] The committees on industrial licencing policy review pointed out several shortcomings of the policy but it also accepted the useful role of industrial licencing.[12] Finally, it was in 1969 that the new industrial licencing policy was announced which affected the following major changes in the area: